XTCC - USD Denominated 4 Year 100% Principal Protected Carbon Credit Structured Product - Solar

Issued by Sustainable Capital PLC, Series 2023-F6 Notes due 2027 (**Notes)** providing indirect exposure to High-Integrity Carbon Credits (**HICC**) sourced exclusively from verified and audited solar energy projects.

Issue size: USD50,000,000 ISIN: CH1213603926

Restrictions

This product may only be offered in accordance with the restrictions set out below under Important Information.

This document (**Indicative Terms**) contains the non-binding indicative terms for the Notes described herein. It does not constitute a binding offer and contains indicative terms and conditions which are subject to change.

Terms used herein shall have the same meaning as set out in the conditions of the Notes (**Conditions**) as set out in the Listing Particulars of the Issuer dated 22 November 2023 (the **Listing Particulars**). Full information on the Issuer and the offer of the Notes is only available on the basis of the combination of these Indicative Terms and the Listing Particulars. The Listing Particulars and related documentation can be obtained free of charge. Please email ir@xtcc.investments.

Structure

The Notes are secured notes issued by Sustainable Capital PLC (**Issuer**). Payments under the Notes are subject to the performance risk of the Secured Assets (as set out below). The Notes offer investors a participation in the risk and return of ownership of the Secured Assets. If no events resulting in early redemption of the Notes occur, then during the life of the Notes investors will receive (a) amounts equal to the net asset value of the Secured Assets on exercise of a put option and (b) on the scheduled Maturity Date, redemption amounts equal to the net asset value of the Secured Assets, in each case in respect of the amounts of Notes held.

If an event resulting in the early redemption of the Notes occurs, the Issuer's obligation to redeem each Note held by the relevant Noteholder will be satisfied by payment of the net asset value of the Secured Assets at the time of redemption. If the Notes have not been redeemed by in full by the Longstop Maturity Date, the Notes shall be redeemed at zero.

Information on the Secured Assets

1. 3% of the aggregate amounts of Notes as reserve for liquidity purposes and to ensure there are sufficient amounts to pay amounts due to the Issuer Secured Creditors (other than the Noteholders) (**Reserves**).
2. The balance, after deduction of the Reserves will be invested in:
   (a) High-Integrity carbon credits (**HICC**) which meet the minimum standards for additionality and co-benefits as more fully specified by ISO14064, pursuant to a secured agreement with XTCC Holdings OÜ (**Obligor**); and
   (b) the BlackRock ICS Liquid Environmentally Aware Fund (rated AAAm) to provide for 100% principal protection at the Maturity Date, (together, **Secured Assets**).

As part of its investment in the Secured Assets, the Issuer will enter into an agreement with the Obligor pursuant to which the Issuer will make payments to the Obligor and the Obligor will use those payments to purchase HICCs from market makers. Where the Issuer is required to make payments of carbon credits to Noteholders, the Obligor will be required to liquidate or sell HICCs and make a payment to the Issuer. As security for the Obligor's payments to the Issuer, the Obligor will provide the Issuer with security over HICCs held or owned. The Obligor will source HICCs from audited and verified solar energy projects which have been operational since at least 2016 and meet relevant industry standard definitions of "High-Integrity".

Investors should make their own investigations and conduct their own due diligence in respect of the Notes, the Secured Assets and the Issuer.

Neither the Issuer nor the Issuer Secured Creditors make any representation or warranty, express of implied, in respect of the Notes or the Secured Assets.

Product Details

Form of Notes	XTCC 4Y Principal Protected USD Solar Notes (**Notes**)
ISIN	CH1213603926
Aggregate Nominal Amount	USD 50,000,000.
Specified Denomination / Nominal Amount	USD 1,000 and increments of 1 thereafter
Issue Price	100 per cent. of the Aggregate Nominal Amount
Calculation Amount	1,000
Settlement Currency	USD
Interest	Not Applicable
Issuer	Sustainable Capital PLC
Listing	Frankfurt Stock Exchange
Secondary Market	The Issuer, or the Calculation Agent, as applicable, intends, under normal market conditions, to provide bid and/or offer prices for the Notes on a regular basis. However, the Issuer or the Calculation Agent, as applicable, makes no firm commitment to provide liquidity by means of bid and/or offer prices for the Notes, and assumes no legal obligation to quote any such prices or with respect to the level or determination of such prices.
Minimum Investment	USD 100,000
Minimum Trading	1,000 and increments of 1 thereafter
Clearing	SIX SIS AG, Clearstream, Euroclear
Governing Law / Jurisdiction	England and Wales
Prohibition of Sales to EEA Retail Investors:	Applicable
Prohibition of Sales to UK Retail Investors:	Applicable

Dates

Issue Date	18 December 2023
Maturity Date	18 December 2027 (**Maturity Date**), subject to Early Redemption and Early Termination provisions.

Redemption

Redemption at the option of Noteholders	The Issuer shall, at the option of the holder of any Note, redeem such Note on the Optional Redemption Date specified in the relevant Put Option Notice by Delivering or procuring the Delivery of VCCs equal to the Optional Redemption Amount. In order to exercise the option, the holder of a Note must, not less than 30 nor more than 60 days before the relevant Optional Redemption Date, deposit with any Paying Agent such Note and a duly completed Put Option Notice in the form obtainable from any Paying Agent. The Paying Agent with which a Note is so deposited shall deliver a duly completed Put Option Receipt to the depositing Noteholder. No Note, once deposited with a duly completed Put Option Notice may be withdrawn; provided, however, that if, prior to the relevant Optional Redemption Date, any such Note becomes immediately due and payable or, upon due presentation of any such Note on the relevant Optional Redemption Date, payment of the redemption moneys is improperly withheld or refused, the relevant Paying Agent shall mail notification thereof to the depositing Noteholder at such address as may have been given by such Noteholder in the relevant Put Option Notice and shall mail such Note by uninsured post to, and at the risk of, the Noteholder at such address as may have been given by such Noteholder in the relevant Put Option Notice. Notes may be redeemed under this option in any multiple of their lowest Specified Denomination. "Deliver", "Delivering" or "Delivery" means to deliver, novate, transfer, assign or sell, as appropriate, in the manner customary for the settlement or retirement of VCCs (which shall include executing all necessary documentation and taking any other necessary actions) in order to convey all right, title and interest in the VCCs to the depositing Noteholder free and clear of any liens, charges, claims or encumbrances. Each of the persons shown in the records of the Clearing System as the beneficial holder of a particular nominal amount of Notes represented by such Note must provide any notice required by this option in accordance with the rules of the Clearing System.
Optional Redemption Amount	Per Calculation Amount, the NAV per Note as at the most recent Valuation Date prior to the Optional Redemption Date where: **NAV** means the net value of the Secured Assets attributable to the Notes minus the total liabilities of the Issuer attributable to the Notes (calculated on a consistent basis discounting at the appropriate rate and excluding the paid up share capital of the Issuer and the associated investment of such share capital). **NAV per Note** means the NAV, as determined by the Calculation Agent as at each Valuation Date, divided by the aggregate amount of Notes then outstanding. **Valuation Date** means the 10th Business Day of each calendar month.
Scheduled Redemption	Unless previously redeemed, or purchased and cancelled, the Notes will be redeemed at their Final Redemption Amount on: (i) the Maturity Date in cases where all accrued interest has been paid or will be paid simultaneously with such redemption; or (ii) the Longstop Maturity Date in all other cases.
Final Redemption Amount	Per Calculation Amount, the NAV per Note as at the most recent Valuation Date prior to the due date for the payment of the Final Redemption Amount where: **NAV** means the net value of the Secured Assets attributable to the Notes minus the total liabilities of the Issuer attributable to the Notes (calculated on a consistent basis discounting at the appropriate rate and excluding the paid up share capital of the Issuer and the associated investment of such share capital).

	NAV per Note means the NAV, as determined by the Calculation Agent as at each Valuation Date, divided by the aggregate amount of Notes then outstanding. **Valuation Date** means the 10th Business Day of each calendar month.

Prospects of Profits and Losses

Market Expectation	Investors in the Notes understand that the Secured Assets pay no scheduled interest amounts, partial redemption or redemption amounts and the value is subject solely to the prevailing market prices.
Effect of the performance of the Secured Assets on redemption amount:	
Positive Performance	In case the Secured Assets perform positively during the term of the Notes, Noteholders will receive on the Maturity Date the net asset value of the Secured Assets (in each case minus fees and senior costs) on the Maturity Date which includes the amounts held in cash or Reserves.
Sideways to slightly negative performance	In case the Secured Assets perform sideways to slightly negatively during the term of the Notes, Investors will receive on the Maturity Date the net asset value of the Secured Assets (in each case minus fees and senior costs) on the Maturity Date which includes the amounts held in cash or Reserves.
Pronounced negative performance	In case the Underlying performs negatively during the term of the Product, Investors will receive on the Maturity Date the net asset value of the Secured Assets (in each case minus fees and senior costs) on the Maturity Date which includes the amounts held in cash or Reserves.

Significant Risks for Investors

General risk warning	The Issuer believes that the factors listed in the Listing Particulars and the following specific factors may affect its ability to fulfil its obligations under the Notes. All of these factors are contingencies which may or may not occur and the Issuer is not in a position to express a view on the likelihood of any such contingency occurring. The Issuer believes that the factors described in the Listing Particulars and below represent the principal risks inherent in investing in the Notes but the inability of the Issuer to pay amounts on or in connection with the Notes may occur for other reasons and the Issuer does not represent that the statements below regarding the risks of holding the Notes are exhaustive. Prospective investors should also read the detailed information set out elsewhere in the Listing Particulars and reach their own views prior to making any investment decision.
Risk of Capital Loss	Unlike a bank deposit, the Notes are not protected by the UK Financial Services Compensation Scheme (the "FSCS") or any other government savings or deposit protection scheme. As a result, the FSCS will not pay compensation to an investor in the Notes upon the failure of the Issuer. If the Issuer goes out of business or becomes insolvent, Noteholders may lose all or part of their investment in the Notes. If the Notes have been sold or advised through a regulated financial intermediary, compensation may be available as a result of advice provided directly to the Noteholders. If the Notes default before their Maturity Date, Noteholders may lose part or all of their capital investment, meaning they may receive less than the full amount invested.
Regulatory Risk	The Issuer does not need to be (and is not) licensed or authorised under any current securities, commodities, insurance or banking laws of any jurisdiction and has not applied (and does not expect to apply) for any such licences or

	authorisations. There is no assurance, however, that regulatory authorities in one or more jurisdictions would not take a contrary view regarding the applicability of any such laws to the Issuer. The taking of a contrary view by any such regulatory authority could have an adverse impact on the Issuer or the holders of Notes issued by the Issuer.
Market Risk	Market Risk refers to the potential value of the Notes fluctuating due to changes in market conditions. Several factors may contribute to this, including the volume of issuance (see "Lower than expected volumes of issuance" below), the lack of an established secondary market (see "Secondary market" below), changes in interest rates (see "Interest Rate Risk" below), rising inflation (see "Inflation Risk" below) changes in credit quality of the Secured Assets (see "Credit Risk" below), changes in credit spreads (see "Yield Curve Risk" below), change in the exchange rate of the currency of the Notes in relation to currency in which the Noteholder's principal financial activities are denominated (see "Foreign Exchange Risk" below) and market volatility & sentiment more generally (see "Market Volatility & Sentiment").
Lower than expected volumes of issuance	No assurance is provided that investors will subscribe for the full amount of Notes which are made available for subscription during a particular offer period. The volume of issuance of a particular Tranche of Notes will depend on a number of factors including, without limitation, prevailing market conditions and the availability of alternative investment opportunities. To the extent that the volumes of issuance of the Notes are lower than expected, the liquidity of the Notes in the secondary market will be limited.
Secondary market	Notes may have no established trading market when issued, and one may never develop. If a market does develop, it may not be liquid. Therefore, investors may not be able to sell their Notes easily or at prices that will provide them with a yield comparable to similar investments that have a developed secondary market. This is particularly the case for Notes that are especially sensitive to interest rate, currency or market risks, are designed for specific investment objectives or strategies or have been structured to meet the investment requirements of limited categories of investors. These types of Notes generally would have a more limited secondary market and more price volatility than conventional debt securities. Further, if an investor chooses to sell its Notes in the open market or through any other available channel including over-the-counter, at any time prior to maturity of the Notes, the price the investor will receive from a purchaser may be more or less than its original investment, and may be more or less than the amount due to be repaid at maturity of the Notes if the investor were to hold onto the Notes until then. Factors that will influence the price received by investors who choose to sell their Notes may include, but are not limited to, market appetite, inflation, the period remaining to maturity of the Notes, prevailing interest rates and the perceived view of investors to the investment objectives or strategies.
Credit Risk	The ability of the Issuer to meet its payment obligations under the Notes will be adversely affected by defaults in the underlying Secured Assets. The Issuer is inherently exposed to risks arising from changes in credit quality and the recoverability of Secured Assets. Defaults by obligors of Secured Assets may reduce the recoverability and value of the Issuer's assets.
Foreign Exchange Risk	The Issuer will pay in the Specified Currency specified in the applicable Pricing Supplement. This presents certain risks relating to currency conversions if an investor's financial activities are denominated principally in a currency or currency unit (the "Investor's Currency") other than the Specified Currency. These include the risk that exchange rates may significantly change (including

	changes due to devaluation of the Specified Currency or revaluation of the Investor's Currency) and the risk that authorities with jurisdiction over the Investor's Currency may impose or modify exchange controls. An appreciation in the value of the Investor's Currency relative to the Specified Currency would decrease (i) the Investor's Currency equivalent yield on the Notes, (ii) the Investor's Currency equivalent value of the principal payable on the Notes and (iii) the Investor's Currency equivalent market value of the Notes. Government and monetary authorities may impose (as some have done in the past) exchange controls that could adversely affect an applicable exchange rate. As a result, investors may receive less interest or principal than expected, or no interest or principal.
Market Sentiment & Volatility	Financial markets can experience periods of increased volatility, driven by economic, geopolitical, or other factors. Elevated market volatility can result in rapid price fluctuations for debt securities. Investors should be prepared for the possibility of increased market volatility and its impact on the market value of the Notes.
Valuation Risk	The Issuer will make available a weekly valuation of the spot price of the Solar HICC. The price will be calculated based on a number of market data sources which together give a valuation as at the date published. There is no guarantee that the actual market price which can be achieved in an open market sale will equal the valuation price. Market Risk will apply in all situations and may not be fully considered in the publication of valuations.
Reinvestment Risk	If the Issuer is unable to meet its financial obligations the Trustee may declare that the Notes shall become immediately due and payable at their early termination amount. Potential investors should consider reinvestment risk in light of other investments available at that time.
Emerging Markets	The proceeds from the issuance of the Notes will be used to invest in a pool of assets some or all of which may be exposed to emerging markets. Emerging markets carry the following enhanced risks that Noteholders will therefore also be exposed to. Political and Regulatory Risks: Emerging markets may be characterized by greater political instability, changing regulations and less transparency in governmental decision-making processes than more developed economies. Economic and Currency Risks: Emerging markets often face greater economic challenges compared to more developed economies, such as more inflation, currency devaluation, balance of payments issues and greater fluctuations in exchange rates that can affect an investment in those markets, especially when made in a foreign currency. Legal and Regulatory Environment: Emerging markets may lack well-established legal systems and investor protections to the same degree as more developed markets. Differences in legal and regulatory frameworks can make it challenging for investors in those markets to enforce contracts and protect investor rights. Socioeconomic and Environmental Factors: Socioeconomic challenges in emerging markets, such as income inequality, poverty, and social unrest, can affect the stability and economic outlook of those markets. Additionally, environmental concerns, including climate change and resource scarcity, may exacerbate those risks. Geopolitical Risks: Emerging markets may be more susceptible to geopolitical tensions and conflicts, which can disrupt economic activities and investment environments. Infrastructure and Operational Risks: Emerging markets may less adequate infrastructure compared to more developed economies, including utilities,

	transportation and communication. These deficiencies can impact the ability of investors in those markets to operate effectively and service their debt. Taxation and Repatriation Risks: Emerging market economies may implement taxation policies and restrictions on the repatriation of funds which may affect the returns on investments in those markets. Cultural and Social Risks: Differences in cultural norms, business practices, and social expectations can create challenges for investors in emerging markets. Pandemic and Health Risks: Emerging markets may face greater challenges related to healthcare infrastructure, disease outbreaks, and public health crises when compared to more developed economies, which can impact economic stability and investment performance.
Put Risk (optional redemption by the Noteholders)	During any period when the Noteholder may elect to redeem Notes, the market value of those Notes may not rise substantially above the price (or value of underlying assets) at which they can be redeemed. This also may be true prior to any redemption period. The ability to redeem the underlying assets and the associated value in offset certificates received by the Noteholders may be lower than expected based on the market values at the time of redemption. The notice period for redemption is specified in the Terms and Conditions.
Counterparty Risk	The Issuer relies on certain key parties for the performance of certain functions under the Notes (see “Overview of the Notes”. To the extent that such parties fail to adequately perform their obligations or enter into financial difficulties, the value of the Notes may be adversely impacted.
Principal Protection	The Issuer has deposited an amount intended to provide principal protection with the BlackRock ICS Liquid Environmentally Aware Fund. There is no guarantee that such funds will have sufficient funds to repay the principal of the outstanding Notes in full. Noteholders will have to determine or take appropriate professional advice as to the quality of the credit risk associated with such funds as part of any investment decision. Past performance is no guarantee of future returns.

IMPORTANT NOTICES

The Issuer accepts responsibility for the information contained in this Indicative Terms and declares that, having taken all reasonable care to ensure that such is the case, the information contained in this Indicative Terms is, to the best of its knowledge, in accordance with the facts and contains no omission likely to affect its import.

No person has been authorised to give any information or to make any representation not contained in or not consistent with this Indicative Terms or any other document entered into in relation to the Notes or any information supplied by the Issuer or such other information as is in the public domain and, if given or made, such information or representation should not be relied upon as having been authorised by the Issuer, the Trustee, the Settlement Agent or any Distributor.

Neither the Settlement Agent, the Trustee nor the Distributor nor any of their respective affiliates have authorised the whole or any part of this Indicative Terms and none of them makes any representation or warranty or accepts any responsibility as to the accuracy or completeness of the information contained in this Indicative Terms.

Neither the delivery of this Indicative Terms nor the offering, sale or delivery of any Note shall, in any circumstances, create any implication that the information contained in this Indicative Terms is true subsequent to the date hereof or the date upon which this Indicative Terms has been most recently amended or supplemented or that there has been no adverse change, or any event reasonably likely to involve any adverse change, in the prospects or financial or trading position of the Issuer since the date thereof or, if later, the date upon which this Indicative Terms has been most recently amended or supplemented or that any other information supplied in connection with the Notes is correct at any time subsequent to the date on which it is supplied or, if different, the date indicated in the document containing the same.

The distribution of this Indicative Terms and the offering, sale and delivery of the Notes in certain jurisdictions may be restricted by law. Persons into whose possession this Indicative Terms comes are required by the Issuer, the Settlement Agent and the Distributor to inform themselves about and to observe any such restrictions. For a description of certain restrictions on offers, sales and deliveries of Notes and on the distribution of this Indicative Terms and other offering material relating to the Notes, see "**Subscription and Sale**" in the Listing Particulars.

In particular, Notes have not been and will not be registered under the United States Securities Act of 1933 (as amended) (**Securities Act**) and are subject to U.S. tax law requirements. Subject to certain exceptions, Notes may not be offered, sold or delivered within the United States or to U.S. persons.

This Indicative Terms is not being distributed by, nor has it been approved for the purposes of section 21 of the Financial Services and Markets Act 2000 by, a person authorized under the Financial Services and Markets Act 2000. This Indicative Terms is for distribution only to, and is only directed at, persons who (i) are outside the United Kingdom or (ii) have professional experience in matters relating to investments (being investment professionals falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005, as amended (the "Financial Promotion Order")); (iii) are persons falling within Article 49(2)(a) to (d) (high net worth companies, unincorporated associations, etc.) of the Financial Promotion Order; or (iv) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the Financial Services and Markets Act 2000) in connection with the issue or sale of any Notes may otherwise lawfully be communicated or caused to be communicated (all such persons together being referred to as "relevant persons"). Accordingly, by accepting delivery of this Indicative Terms, the recipient warrants and acknowledges that it is such a relevant person. Any Notes will be available to, and any invitation, offer or agreement to subscribe, purchase or otherwise acquire such Notes will be engaged in only with, relevant persons. Any person who is not a relevant person should not act or rely on this document or any of its contents. No part of this Indicative Terms should be published, reproduced, distributed or otherwise made available in whole or in part to any other person without the Issuer's prior written consent. Notes will not be offered or sold to any person in the United Kingdom, except in circumstances which will not result in an offer of securities to the public in the United Kingdom within the meaning of Part VI of the Financial Services and Markets Act 2000.

This Indicative Terms does not constitute an offer or an invitation to subscribe for or purchase any Notes and should not be considered as a recommendation by the Issuer, the Settlement Agent, the Distributor, the Trustee, or any of them that any recipient of this Indicative Terms should subscribe for or purchase any Notes. Each recipient of this Indicative Terms shall be taken to have made its own investigation and appraisal of the condition (financial or otherwise) of the Issuer.

The Notes may not be a suitable investment for all investors. Each potential investor in the Notes must determine the suitability of that investment in light of its own circumstances. Each potential investor may wish to consider, either on its own or with the help of its financial and other professional advisers, whether it:

1. has sufficient knowledge and experience to make a meaningful evaluation of the Notes, the merits and risks of investing in the Notes and the information contained or incorporated by reference in this Indicative Terms;
2. has access to, and knowledge of, appropriate analytical tools to evaluate, in the context of its particular financial situation, an investment in the Notes and the impact the Notes will have on its overall investment portfolio;
3. has sufficient financial resources and liquidity to bear all of the risks of an investment in the Notes, including Notes where the currency for principal or interest payments is different from the potential investor's currency;
4. understands thoroughly the terms of the Notes and is familiar with the behaviour of financial markets; and
5. is able to evaluate possible scenarios for economic, interest rate and other factors that may affect its investment and its ability to bear the applicable risks.

Legal investment considerations may restrict certain investments. The investment activities of certain investors are subject to legal investment laws and regulations, or review or regulation by certain authorities. Each potential investor should consult its legal advisors to determine whether and to what extent (1) Notes are legal investments for it, (2) Notes can be used as collateral for various types of borrowing and (3) other restrictions apply to its purchase or pledge of any Notes. Financial institutions should consult their legal advisors or the appropriate regulators to determine the appropriate treatment of Notes under any applicable risk-based capital or similar rules.